Meta's Foray Into Undersea Cables Raises Questions Over Critical Infrastructure

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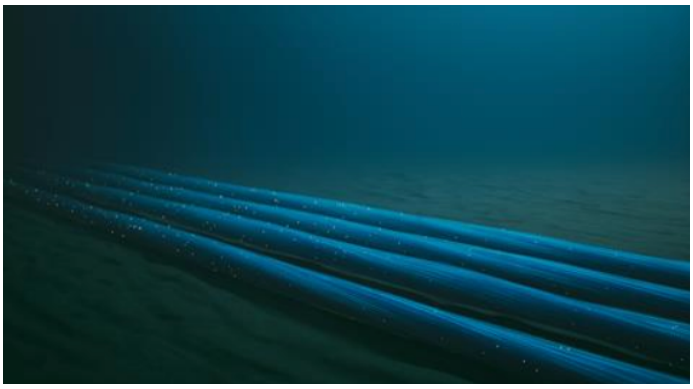

*EU tech policy fellow **Michille Nie** examines the growing control of undersea internet cables by Big Tech companies and the urgent need for regulatory and policy interventions to ensure fair access and security.*

Meta last month announced Project Waterworth, a $10 billion project to build the world's longest undersea cable. Critically, Meta would be the sole owner and user of this cable, further concentrating ownership of critical international infrastructure in the hands of a few technology corporations. While ownership

of a cable does not necessarily mean that one has access to the data that flows through it, owners can determine which data flows are prioritized, as well as exploit their control over these chokepoints to favor their own services. The overall result highlights the urgent need for democracies around the world to take policy action.

Today's undersea cables are designed to transmit enormous amounts of data, including voice and eventually internet traffic, across thousands of miles. In all, 99 percent of today's international communications traffic — including internet, telephone, and video — is transmitted through such cables. These connections are core to the basic functioning of our societies. Both cloud computing and financial systems such as the Society for World Interbank Financial Telecommunications (SWIFT) depend extensively or even exclusively on undersea cables to manage essential services and to transmit transactions valued at trillions of dollars daily.

Despite their critical importance, only one percent of all undersea cables are owned by governments. The vast majority are owned by private firms or consortiums of firms. And just four corporations — Google, Microsoft, Meta, and Amazon — own or lease about half the world's undersea cable capacity. The same four account for an even greater percentage — 71 percent – of total cable traffic, thanks in part to the fact that their cables tend to be of higher capacity; Meta, for example, has been

deploying cables that use 24 pairs of fibers, when typical cables have only up to 16.

These four tech giants have used their control over undersea cables to their advantage in a variety of ways. For instance, the corporations are making critical decisions about where cables lie. One result is they predominantly use cables to connect data centers instead of population centers, as was previously common practice — a trend that is set to accelerate due to the importance of cloud and AI on these businesses' growth.

Similarly, these four corporations use their effective control over international connectivity to further reinforce their already outsized market power over digital communications systems. As with cloud services, they can prioritize their own services and slow or even deny services to other companies, in ways that limit both freedom and competition.

To solve these issues, some have advocated for the increased use of satellites to facilitate data transfers. But even the most advanced extraterrestrial systems are less reliable, slower, and less resilient to external factors. They are also dependent on powerful U.S. companies, notably Starlink.

Others have advocated for increased protections under international laws, such as the UN Convention on the Law of the Sea (UNCLOS), written in 1982. But the convention largely addresses nations' rights

and responsibilities over cables rather than regulating the use of cables.

Late in the Biden administration the Federal Communications Commission (FCC) proposed an overhaul of its cable licensing rules to force license applicants to demonstrate that new cables would serve the public interest and that they have not "violated U.S. antitrust or other competition laws." If adopted this rule would apply to new cables connected to the U.S. but not to existing infrastructure.

There are, however, other ways to challenge the control of these four sprawling corporations, while reducing systemic vulnerability to accidents, disruption, and geopolitical coercion. For instance, governments couldd treat cables as public utilities and regulate them accordingly. This could be done through domestic regulation, since nations have jurisdiction over cable laying and placement activity 200 nautical miles (around 10 kilometers) from shore per the UNCLOS.

A second approach would be for democratic governments to increase their investment in alternative cable systems. This would allow democratic nations to take a more active role in establishing public alternatives with the aim of expanding access without depending on Big Tech-controlled infrastructure.

Last, at the international level, democratic nations could aim to strike new multilateral treaties to require cable owners to share cable

capacity with smaller businesses, eliminating their exclusive access rights.

The stakes are high. If we fail to regulate cables in the public interest, this critical infrastructure will continue to be controlled by a tiny few U.S.-based Big Tech companies and, by proxy, the U.S. government — further undermining a free internet and threatening the security and resilience of one of the fundamental critical infrastructure networks that society depends on.

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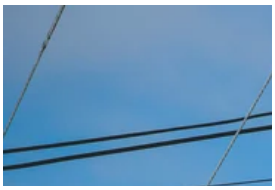

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